crestmark lending



DSCR loans.

Rental property financing, explained.

Understand the numbers. Know the requirements.
Get answers before your next investment.



Neal Pyles
Your Loan Officer | NMLS 1929617
Call or text: 469.734.6352

NUMBERS 02 REQUIREMENTS 03 PROCESS 04 FAQs 05 NEXT STEP 08

01 / UNDERSTAND DSCR

Let the property’s income do the talking.

DSCR stands for Debt Service Coverage Ratio. For many residential rental loans, lenders compare qualifying rent with the property’s full monthly housing payment. Your credit, assets, and the property still matter. [6]

PITIA: PRINCIPAL, INTEREST, TAXES, INSURANCE & ASSOCIATION DUES

Qualifying rent ÷ Monthly PITIA = DSCR

1.00

Rent equals PITIA

1.20

Rent is 20% above PITIA

Below 1.00

Rent falls short of PITIA

A SIMPLE MONTHLY EXAMPLE

Principal and interest	**$1,800**
Property taxes	**$450**
Property insurance	**$150**
Association dues, if any	**$100**
Total monthly PITIA	**$2,500**

QUALIFYING RENT: $3,000

1.20 DSCR

$3,000 ÷ $2,500 = 1.20

This measures payment coverage.

Coverage isn’t profit. The $500 difference in this example is before repairs, vacancy, management, utilities you pay, and other operating costs. Budget for those separately. Larger commercial properties may use net operating income and a different DSCR method. [13] [4]

02 / QUALIFICATION & CASH

What it takes to qualify.

These are planning ranges. The lender’s program determines your actual terms.

Down payment	**Often 20% to 25%** Some scenarios need more equity. Loan to value, or LTV, is the loan amount divided by the property value used by the lender.
Credit profile	**660+ is a common starting point** Select programs consider lower scores. Credit history, property type, and the rest of the file affect eligibility and pricing.
Rental coverage	**1.00+ is a common target** Some programs prefer 1.20 or higher. Below 1.00 options can mean more equity, additional reserves, and different pricing.
Reserves	**Cash remaining after closing** Requirements vary. Several months of the housing payment may be needed; lower coverage or more complex files can require more.

Reference ranges: Crestmark requirements and guidelines; lender reserve examples. [2] [3] [7]

PLAN FOR TWO DIFFERENT BUCKETS

SPENT TO CLOSE

$69,000

$60,000 down + $9,000 sample costs

REMAINING RESERVES

$15,000

6 months × $2,500 monthly PITIA

Example liquidity needed: $84,000. This assumes a $300,000 purchase, 20% down, illustrative closing costs, and a hypothetical six month reserve requirement. Reserves stay in eligible accounts; they aren’t an added lender fee.

03 / YOUR LOAN PROCESS

Here’s how I’ll handle your DSCR loan.

My goal is to understand the deal early, show you useful options, and keep the next step clear.

1

Review your scenario

We’ll start with the address, price or value, rent, credit estimate, ownership structure, and your investment plan.

2

Compare lender options

I’ll compare programs around the property, available cash, your timeline, and how long you expect to hold the loan.

3

Review the numbers together

We’ll review payment, cash to close, reserves, fees, and prepayment terms before choosing a direction.

4

Complete application and underwriting

With your authorization, we’ll complete the lender’s credit review, appraisal, rent analysis, title, and documentation.

5

Clear conditions, close, and fund

We’ll work through remaining requests, confirm final terms, and coordinate closing and funding.

WHAT TO GATHER

- Government issued ID
- Purchase contract or refinance loan details
- Lease, rent roll, or rental history, if available
- Statements for down payment, closing funds, and reserves
- Insurance quote and HOA details
- LLC or trust documents, if applicable

Send sensitive documents through the secure channel we provide.

BEFORE WE LOCK YOUR LOAN

We’ll compare the payment, upfront charges, reserves, escrow treatment, and cost to exit early. A lower rate can come with fees or prepayment terms that change the deal. [5] [13]

04 / FAQs: QUALIFYING & PROPERTY

The questions investors ask.

Start here if you're buying your first rental or exploring a new property type.

01 Do I need tax returns or proof of personal income?

Usually, no. DSCR programs generally qualify the property using rental income instead of your pay stubs, tax returns, or personal debt to income ratio. You'll still document identity, assets, credit, and property details. [8]

02 What credit score do I need?

Many programs start around 660 or higher, while select options consider lower scores. A stronger credit profile can improve pricing and available leverage. There isn't one minimum that applies to every DSCR lender. [2]

03 What if the DSCR is below 1.00?

There may still be options. Lower coverage programs can require a smaller loan, stronger credit, or more reserves. A bigger down payment may improve coverage by reducing the monthly payment. [8] [3]

04 Can I qualify as a first time investor?

Yes, some programs allow new investors. First time landlord and first time homebuyer are different classifications, and lenders may treat them differently. I'll confirm the experience rules for your situation. [4] [8]

05 Can I live in the property or house hack it?

Standard DSCR rental programs are for investment use and generally don't allow the borrower to occupy a unit. If you plan to live there, tell me upfront so we can identify the appropriate financing. [9]

06 Does the property need a tenant or signed lease?

Not always. Depending on the program, the lender may use an existing lease, appraiser supported market rent, or an approved rent analysis. A vacant property needs specific review; projected rent isn't automatically accepted. [8]

07 Can I finance an Airbnb or other vacation rental?

Select programs allow rentals booked for short stays. The lender may use verified operating history, market rent, or approved projections. Tell me about local rental restrictions and any HOA rules before we select a program. [3] [4]

08 What property types are eligible?

Common options include single family rentals, townhomes, condos, and properties with 2 to 4 units. Five or more units generally need a commercial or specialized program. Rural, manufactured, mixed use, and unusual properties need early review. [3] [4]

Rental income treatment and property eligibility are specific to the selected lender.

05 / FAQs: OWNERSHIP, TERMS & COSTS

The questions investors ask.

Know how the loan is structured and what you're paying for.

09 Do I need an LLC?

Not for every program. Many lenders allow either personal ownership or an approved entity, while some states or programs require an entity. We'll confirm vesting and documentation before closing. [7]

10 Am I personally responsible if I borrow through an LLC?

Often, yes. Many lenders require the owners or principals to personally guarantee repayment even when the LLC holds title. Entity ownership doesn't automatically remove your loan liability. [7]

11 Can I keep buying rentals if I already own several?

Often, yes. DSCR can help investors finance additional rentals without a traditional personal income calculation. Each lender can set limits on total exposure, loan count, and reserves. I'll ask how many financed properties you own. [8] [9]

12 Are reserves the same as my down payment?

No. Reserves are eligible assets available after closing. For example, six months of a $2,500 housing payment equals $15,000. The lender sets the actual amount and which asset accounts count. [7]

13 What fees should I expect?

Ask for an itemized estimate. Costs can include origination or lender charges, appraisal, title and settlement, recording, prepaid interest, insurance, and initial escrow deposits. Your down payment and remaining reserves are separate from these charges. [4] [7]

14 What determines my rate?

Credit, DSCR, loan amount, equity, property type, loan terms, and market conditions affect pricing. Compare options using the same assumptions and hold period. I'll review your scenario before quoting current terms. [4]

15 Can I get a fixed rate or interest only payments?

Options may include a fixed rate, an adjustable rate, or an interest only period. Interest only payments don't reduce principal during that period, and payments can increase afterward. We'll review the full payment schedule. [9]

16 What's APR, and is it the same as my interest rate?

APR expresses borrowing cost as an annual percentage that includes the rate and certain finance charges. It isn't your note rate or payment rate. Business purpose loans can have different disclosure requirements, so compare written fees and terms too. [11] [12]

We'll review your actual loan documents, payment schedule, and costs before closing.

06 / FAQs: REFINANCING & CLOSING

The questions investors ask.

Your exit strategy matters just as much as your starting payment.

17 Can I pull equity out with a DSCR refinance?

Yes, eligible properties may qualify for a cash out refinance. Available proceeds depend on appraised value, maximum LTV, rental coverage, existing liens, costs, and lender limits. Equity alone doesn’t determine the amount. [10] [4]

18 Can I refinance right after a purchase or renovation?

Possibly. Ownership and loan seasoning rules vary, and a lender may limit which value can be used. For a BRRRR strategy, we’ll review timing, completed improvements, rent support, and cash out rules before you rely on a refinance. [10]

19 What’s a prepayment penalty?

It’s a charge that can apply if you pay off the loan or make certain large principal payments during a stated period. Some options decrease over time. Shorter penalty periods or no penalty may change pricing and availability. [13]

20 Can I sell or refinance before that period ends?

You may be able to, but it could trigger the penalty. We’ll review the exact triggers, exceptions, expiration date, and calculation in the loan documents so the potential cost fits your exit plan. [13]

21 Can I waive escrows, and does that improve DSCR?

An escrow waiver is lender and scenario specific. If allowed, you pay taxes and insurance directly. Those expenses still count in the housing payment used for residential DSCR, so a waiver doesn’t remove them from the calculation. [2]

22 Can a DSCR loan pay for renovations?

Dedicated renovation or rehab options may be available. Tell me about the scope and property condition upfront so we can compare the right program and any later refinance. An ordinary rental loan doesn’t automatically fund your renovation budget. [14]

23 Can we talk numbers before a credit report is ordered?

Yes. We can start with your property details and estimated score. I’ll explain the selected lender’s credit process and obtain authorization before a report is ordered. Final approval still requires the lender’s credit review. [7] [9]

24 How long does closing usually take?

Crestmark describes a typical timeline of about 3 to 5 weeks for a complete application. Appraisal, title, insurance, entity documents, and underwriting conditions affect timing. We’ll set expectations for your file rather than promise a universal deadline. [5]

Tell me if you expect to sell, refinance, or pay down principal soon. We’ll compare exit costs early.

07 / YOUR NEXT STEP

Let’s run your rental numbers.

Send me the scenario. I’ll help you understand the financing options and next steps.



Neal Pyles

Loan Officer | NMLS 1929617

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crestmarklending.com

SCAN TO TEXT

WHAT TO SEND FOR A USEFUL REVIEW

- ☐ **The property:** address, type, units, and purchase or refinance goal.
- ☐ **The numbers:** price or value, desired loan, and current balance if refinancing.
- ☐ **The rent:** current or expected rent, lease status, and rental strategy.
- ☐ **Your profile:** estimated credit, available cash, investor experience, and financed property count.
- ☐ **Ownership:** personal name, LLC, or trust; members and ownership percentages if applicable.
- ☐ **Your preferences:** escrow choice, planned hold period, and desired prepayment structure.

A preliminary scenario review can start without ordering a credit report. When you’re ready to proceed, I’ll walk you through the lender’s application and authorization steps.

SOURCE NOTES / CLICK ANY TITLE

Reviewed October 12, 2026. Bracketed numbers link to these references.

[1] Crestmark: company and team
[2] Crestmark: DSCR requirements
[3] Crestmark: DSCR guidelines
[4] Crestmark: investor FAQs
[5] Crestmark: lending process
[6] Visio: understanding DSCR
[7] Visio: documentation and reserves
[8] Angel Oak: investor loan program
[9] Kiavi: rental financing
[10] Kiavi: BRRRR refinancing
[11] CFPB: interest rate and APR
[12] CFPB: business credit exemptions
[13] Visio: prepayment and DSCR guide
[14] Crestmark: renovation financing

For education only. Examples aren’t rate quotes or lending commitments. Programs, pricing, eligibility, and availability vary by lender and state. Final approval and loan documents govern. Ask your own legal or tax adviser about entity and tax decisions.